CITY OF OPA-LOCKA
"The Great City"

Clerk's Action Summary Minutes
Second Budget Hearing
September 21, 2009
5:01 p.m.
City Commission Chambers
777 Sharazad Boulevard
Opa-locka, FL 33054

1. ROLL CALL:

The City Commission of the City of Opa-locka, Miami-Dade County, Florida met in the Second Budget Hearing on Monday, September 21, 2009 at 5:05 p.m. in the City Commission Chambers, 777 Sharazad Boulevard, Opa-locka, Florida. The following members of the City Commission were present: Commissioner Dorothy Johnson, Vice Mayor Myra L. Taylor, Commissioner Timothy Holmes, Commissioner Rose Tydus and Mayor Joseph L. Kelley. Also in attendance was: Interim City Manager Bryan K. Finnie, City Attorney Burnadette Norris-Weeks and City Clerk Deborah S. Irby.

2. INVOCATION:

The Invocation was delivered by Mayor Joseph L. Kelley.

3. PLEDGE OF ALLEGIANCE:

The Pledge of Allegiance was recited in unison.

4. APPROVAL OF MINUTES:

First Budget Hearing Minutes – September 8, 2009

It was moved by Commissioner Johnson, seconded by Vice Mayor Taylor to approve the minutes of the First Budget Hearing of September 8, 2009.

There being no discussion, the motion passed by a 5-0 vote.

Commissioner Holmes	Yes
Commissioner Johnson	Yes
Vice Mayor Taylor	Yes
Commissioner Tydus	Yes
Mayor Kelley	Yes

5. RESOLUTION/PUBLIC HEARING:

A. A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, ADOPTING A FINAL MILLAGE RATE FOR FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009, THROUGH SEPTEMBER 30, 2010, PURSUANT TO SECTION 200.065, FLORIDA STATUTES. *Sponsored by C.M.*

The above resolution was read by title by Attorney Weeks.

Ezekiel Orji, Finance Director for the City of Opa-locka came forward and stated that the City Commission of the City of Opa-locka hereby adopts and establishes the millage rate of the City of Opa-locka for Fiscal Year 2009-2010, commencing October 1, 2009 through September 30, 2010, at 8.3000 mills, which is $8.3000 per $1,000.00 of assessed property value within the City of Opa-locka. This represents a -2.98% decrease over the rollback rate of 5.5467 mills.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Vice Mayor Taylor to pass the above resolution.

There being no discussion, the motion passed by a 5-0 vote.

Commissioner Holmes	Yes
Commissioner Johnson	Yes
Commissioner Tydus	Yes
Vice Mayor Taylor	Yes
Mayor Kelley	Yes

6. SECOND READING ORDINANCES/PUBLIC HEARING:

A. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S GENERAL FUND BUDGET FOR THE FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009 THROUGH SEPTEMBER 30, 2010; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR THE DEPOSIT OF INTEREST EARNED TO THE GENERAL FUND; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR THE DEPOSIT OF INTEREST EARNED TO THE GENERAL FUND; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND PROVIDING FOR AMENDMENT; PROVIDING FOR REPEAL FO ALL ORDINANCES IN CONFLICT;

PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE (first reading/public hearing held on September 8, 2009).

The above ordinance wad read by title by Attorney Weeks.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Vice Mayor Taylor to pass the above ordinance.

As a part of the document provided to the Commission at the beginning of the budget hearing, Commissioner Johnson said it reflects $500,000.00 for bond refinance. She questioned the City Manager as to whether the bond was refinanced. If so, when was it authorized by the Commission?

Manager Finnie explained that the bond was not refinanced; however, the plan is to refinance in Fiscal Year 2010 at which time it would be brought to the Commission for permission before moving forward.

Commissioner Johnson said the $5,000.00 is already a part of the budget figures.

Manager Finnie said that the bond would be refinanced in 2010 as a refunding so it is anticipated in the budget.

Of concern to Commissioner Johnson was the elimination of the vacant Code Enforcement position since the city had an increase in abandoned properties, the current number of administrative positions in that department and the change in the city's health insurance company.

Manager Finnie stated that the Code Enforcement Department consists of a director, administrative assistant and 5 Code Enforcement officers. In terms of the health insurance, the city had not changed carrier; however, there was an overstatement of health insurance costs resulting in a savings of $153,325.00.

Commissioner Johnson asked, with the changes of staff members from Crime Prevention to Parks & Recreation, what duties will be fulfilled as a result of that change?

Manager Finnie explained that the city is absorbing Crime Prevention into the Parks & Recreation Department but the Crime Prevention program will continue and the job descriptions will remain the same. However, the job descriptions will be modified because they have asked individuals to assume additional duties as well. The salary will remain the same; the city just moved them to another payment source.

Commissioner Johnson asked, has the city's funds been audited for 2009?

Manager Finnie stated that an audit is conducted every year; however, the 2009 audit has not been completed because the city is just closing out but there would be an audit.

Commissioner Johnson suggested that the audit begin in October 2009.

Manager Finnie agreed to have the audit started in October upon Commission approval of the resolution to be considered at the September 23, 2009 Regular Commission Meeting extending the auditor's contract for one year.

Commissioner Tydus asked for legal advice on the statute requirements for audits?

Attorney Weeks advised that the city is allowed under the current contract to extend for another year with the approval of the Commission by majority vote, but it would have to go through the Audit Committee. She explained that if the resolution is placed on the next agenda and the agenda is amended to allow the Commission to have an item for the Audit Committee then she can prepare a resolution to have the same firm approved for an additional year.

As it relates to the City Clerk's Department, Commissioner Tydus asked, what would the increase of $5,000.00 in other professional services include?

Manager Finnie said that would be money set aside for an anticipated special election.

Commissioner Johnson stated that the document reflects that the Water and Sewer Fund increased by $285,450.00 to 12,254,590.00. She asked, where is money coming from?

Manager Finnie explained that the Water and Sewer Fund increased by $285,450.00 which brought the amount up to $12,254.590.00. This fund is the accumulative fund of the city's water utilities capital program and most of that money will be spent on capital projects planned in 2010.

Commissioner Johnson went back to her original concern relating to the $500,000.00 bond because she thought capital improvements would be funded by Miami-Dade County Office of Community and Economic Development (OCED).

Manager Finnie stated that the city has several sources of money for funding and out of 4.3 Million in capital improvements everything but $225,000.00 is coming from other sources be it state, county or federal and 1.3 Million Dollars from OCED.

Commissioner Johnson asked for an explanation on the language in the budget document which read as follows: "moved the bond refinancing process from the general fund to capital improvement fund".

Ezekiel Orji, Finance Director for the City of Opa-locka came forward and stated that the original proposed budget presented to the Commission included $500,000.00 in the

general fund which shouldn't be there. In the final budget amendment document, the $500,000.00 is being moved from the general fund to the capital improvement fund because its capital related revenue.

Although Commissioner Johnson understood what Mr. Orji stated, she expressed her concern regarding the previous statement made by the City Manager that he anticipated asking the Commission for $500,000.00 and that is not what is being stated now.

Mr. Orji clarified that he is saying what the City Manager previously stated that the city plans to refinance the bond in 2010 and they anticipate realizing $500,000.00 from that refinancing efforts.

Manager Finnie indicated that there was a mistake in the first presentation to the Commission and they are not putting that amount in the proper account where the money belongs.

Commissioner Johnson referred to page 46 of the proposed FY 2009/2010 budget document where she noticed that the 6 positions in the City Manager budget went from $600,000.00 to $820,000.00.

Manager Finnie advised that the City Manager's budget for FY 2010 is $509,880.00 and the projected closure for the budget in 2009 is $826,270.00. This number contains a number of things: staff, payouts, reconciliation of the former City Manager, and the cost for the former assistant City Manager.

Commissioner Johnson recalled in previous conversations that she requested on numerous occasions a line item budget and she doesn't want to vote on this document as is. She preferred seeing the amount for each individual item especially in this substantial increase which is not detailed.

Manager Finnie assured Commissioner Johnson that as the audit is being completed, he would ask the auditor to provide details for each department.

Commissioner Johnson asked for the City Manager's plan in limiting the overtime? She asked, would the reduction be 60% of budget cost in police expenses?

Specifically with the police, Manager Finnie said that the budget entails a number of items. This budget seeks to support public safety in the City of Opa-locka while addressing the overtime in the police department by developing new shifts, reorganizing the departments command structure and integrating the department special units into its overall operations. He said that the overtime is across the board but most of the overtime is due to limited manpower to cover all our shifts. If the city increases its hiring rate, better manage the special units use of overtime and do some restructuring at the command level, the city is looking at cutting overtime in half.

Commissioner Johnson said it was her understanding from the beginning that the City Manager planned on hiring more individuals. She asked, when was the last time the city conducted sergeant testing and how many sergeants are currently at the police department?

Chief James Smith of the Opa-locka Police Department came forward and stated that currently the police department doesn't have any sergeants.

Commissioner Johnson asked, how will the 60% reduction in police expenses affect the police department?

Based on the number of officers the police department is getting, Chief Smith explained that more officers would be put on the road which would limit overtime. The only overtime would be for court time. In terms of the testing for sergeants, he is working with the Assessment Center at Miami-Dade College and Broward College.

Commissioner Johnson asked, what is the percentage of administrative secretaries per department versus salary employees?

Manager Finnie informed that he didn't have that exact number.

In reviewing the upcoming budget versus previous years, Commissioner Johnson indicated that there seemed to be a slight increase in administrative positions. She requested that the City Manager research this issue and make sure the Commission is aware.

She asked, what steps were taken, if any, for a reduction in the budget in terms of city vehicles, gas and maintenance?

As of last week, Manager Finnie explained that he cancelled all take home city vehicles and in the coming week he will review 100% of car allowances. He said he would bring back to the Commission a memorandum with his recommendation on the take home policy and car allowances. There are certain aspects of the city's operations that have been conventional, de facto and have gone on for years. In researching these issues, he found out that none of it had been codified by the board; therefore, he is now suspending most of those activities and coming to the Commission for permission to move forward with both those items on an as needed basis.

Commissioner Johnson requested that the City Manager show the cost related to these items and the savings to the city as a result of the suspension.

She continued by inquiring into whether the executive exempt employees had a benefits package?

Manager Finnie requested the opportunity to bring back a report on this issue.

Commissioner Johnson said it was brought to her attention that there are executive exempt employees with benefits package consisting of insurance costs, deferred compensation and car allowance and this had not been brought to the Commission. She requested that the City Manager provide a report to the Commission on this issue by Wednesday, September 23, 2009.

Manager Finnie agreed to provide the Commission with a report by 09/23/2009.

During the first budget hearing, Commissioner Holmes recalled asking the question "had there been a decrease in revenue this year" and the response was that there was a 7.75% reduction equivalent to approximately One Million Dollars. Of concern was the fact that the city could include increases in the upcoming budget (i.e. $90,000 for the red light cameras and court fines).

He continued by expressing his concerns relating to the ordinance stopping the water & sewer rates increase and the impact it would have on the budget. The City Manager is scheduled to provide him with a scale on Wednesday, September 23, 2009 but he hoped he would have already had that scale to be able to see what impact the water & sewer ordinances would have on the budget. Without having the necessary documentation, he said that he could not support the budget as is. This is the reason he asked the City Attorney to prepare a resolution for the 09/23/2009 commission agenda for the State of Florida to perform an independent audit because he is of the opinion that the Commission should know what money is in the budget.

He further spoke in terms of the increases in the budget for various city departments and the hiring of individuals although there is a decrease in revenue. The city cannot balance the budget on anticipated revenue and grants that have not been awarded as of yet. He said he could not see how the city can make up the difference in the 7.75% decrease in revenue.

Mayor Kelley expressed his concern relating to public safety because in the past the city had budgeted for police officers and all of those positions were not filled. He noticed that in the police department there are 51 budgeted positions for police officers and he wants to see that all of these positions are filled. Additionally, he said he wanted to see the police officers actually patrolling the streets.

Manager Finnie explained that many of the applicants for police officers are having problems with the psychological test and the other problem was the manpower in Internal Affairs who is responsible for processing background checks and certification for the new officers.

Because the Commission sets policy to give the City Manager the funding to get the job done, Mayor Kelley said it is frustrating when the officers are not on the street. The city didn't get any where near the number of officers budgeted for in the current budget and now the City Manager is asking for an additional three in the FY 2010 budget.

As it relates to the overtime, he said that it is normally broken down in the audit. He recalled the last audit where there was mention of overtime in terms of the amount for the city, not just for the police. He suggested that the City Manager take a look at overtime in all city departments.

In the budget amendment handout relating to the changes in terms of the cost the city will incur from Miami-Dade County reference water, Mayor Kelley said he is aware those numbers are projected and asked is there any cushion in those numbers?

Manager Finnie stated that the city increased its projections and built that increase from the county into the numbers anticipating the impact since the city is not increasing its rates. This would accommodate any additional costs the city may have.

Although the city is not raising its rates for its residents, Mayor Kelley said that the city must be prepared to absorb the cost as a result of the increase from Miami-Dade County. Since the increase from Miami-Dade County is forthcoming, he doesn't want this issue coming back before the Commission.

He further asked about the 5% water and sewer fund and whether that kept the city in tact with financial integrity principal.

Mr. Orji advised that the city has met the $500,000.00 requirement in the general fund as well as the 5% for the water and sewer.

In terms of the impact of the scale system that Commissioner Holmes referenced, Mayor Kelley asked, are the projections included in the budget amendment handout since the Commission hasn't received that information?

Manager Finnie explained that if the Commission approves it and the city understands what the impacted number is then he may ask for a budget amendment in November to adjust the rates.

Based on the scale (tier system), Mayor Kelley asked, if the City Manager comes back with a recommendation then would that be done through a budget amendment?

Manager Finnie replied, yes; but the strategy would be coming up with the plan, articulating what the levels would be, what the conservation rates would be and setting aside a reserve for soft landing should the city be too aggressive in slightly adjusting water which also includes a moratorium. The projections in the budget are conservative and the monies used in the general fund have gone done but the budget has increased in the capital areas because of the addition of capital projects funded through outside sources.

Commissioner Johnson asked, where would she find the reserve fund?

Faye Douglas, Assistant Finance Director for the City of Opa-locka came forward and stated that the reserve in the general fund is reflected on page 49 and the water & sewer on page156 of the budget. She said that City Commission approval is required prior in order to utilize any of the reserve funds.

There being no further discussion, the motion passed by a 3-2 vote.

Commissioner Johnson	No
Commissioner Tydus	Yes
Vice Mayor Taylor	Yes
Commissioner Holmes	No
Mayor Kelley	Yes

B. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S PROPRIETARY AND SPECIAL REVENUE FUND BUDGET FOR THE FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009 THROUGH SEPTEMBER 30, 2010; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND AMENDMENT; PROVIDING FOR REPEAL OF ALL ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE (first reading/public hearing held on September 8, 2009).

The above ordinance was read by title by Attorney Weeks.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Vice Mayor Taylor, seconded by Commissioner Tydus to pass the above ordinance.

There being no discussion, the motion passed by a 3-2 vote.

Commissioner Tydus	Yes
Vice Mayor Taylor	Yes
Commissioner Holmes	No
Commissioner Johnson	No
Mayor Kelley	Yes

7. ADJOURNMENT:

There being no further business to come before the City Commission, it was moved by Commissioner Johnson, seconded by Commissioner Holmes to adjourn the meeting at 5:55 p.m.

MAYOR

ATTEST:

CITY CLERK